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SERIES — ASSET MANAGEMENT

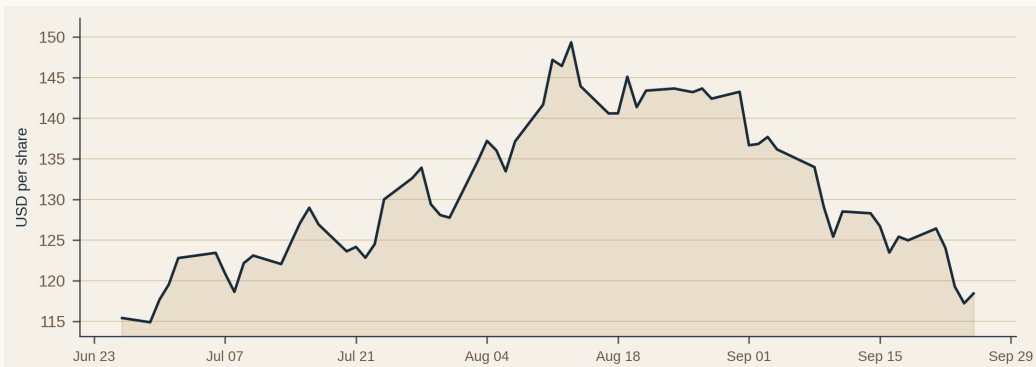
Blackstone

Blackstone Inc.

NYSE: BX · United States · Alternative Asset Management

USD 118.42

Closing price, 25 September 2026 · Market capitalisation USD 147.3 billion



BX share price, 25 June 2026 – 25 September 2026, daily close. Source: Alpha Vantage market data.

REPORT DATE
28 September 2026

ANALYST
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CLASSIFICATION
Institutional research memorandum

Executive Summary

Business

Blackstone is the world's largest alternative asset manager, running USD 1,274.9 billion of assets under management across Real Estate, Private Equity, Credit and Insurance, and Multi-Asset Investing (Sourced: FY2025 earnings release). The firm earns fee-related earnings on committed and invested capital and performance revenue on realised gains, rather than manufacturing or selling a physical product. Its principal clients are institutional allocators, insurers, and, increasingly, individual investors through perpetual-capital retail vehicles (Sourced: Form 10-K).

Financial Condition

GAAP consolidated revenue reached USD 14,213 million in FY2025, up 12.2 percent year over year, with net income to Blackstone Inc. of USD 3,019 million (Sourced: company financial statements). Distributable earnings, the metric management and most sell-side analysts treat as the cleanest measure of cash generation, were USD 7,113 million, up 19 percent, funding USD 4,740 million of per-share annual dividends against free cash flow of USD 4,547 million (Sourced: FY2025 earnings release; Reasoned: FCF from cash-flow statement).

Market Position

Blackstone's closest peers by scale and business mix are Apollo Global Management, KKR, Ares Management, Carlyle Group, and Brookfield Asset Management. Its principal advantage is scale-driven access to capital and deal flow across every major alternative asset class; its principal structural weakness is that roughly two-thirds of AUM still sits in closed-end, realisation-dependent vehicles whose performance revenue is inherently lumpy (Reasoned).

Valuation

At the report date, Blackstone traded at a market capitalisation of USD 147.3 billion and an enterprise value of USD 159.9 billion, equivalent to a trailing price/earnings ratio of 26.5x, a forward price/earnings ratio of 18.5x, and a price/distributable-earnings ratio in the high teens on a trailing basis (Sourced: stockanalysis.com; Reasoned: DE multiple).

Investment Framework

WHAT IS ATTRACTIVE	Record fundraising momentum, a fee-related earnings base that is largely contractual and growing double digits, and a balance sheet with no near-term refinancing strain (Reasoned).
WHAT IS CONCERNING	Payout ratio above 100 percent of GAAP net income, heavy reliance on continued realisation activity to sustain distributable-earnings growth, and elevated sensitivity to real estate valuations in the Core+ perpetual vehicles (Reasoned).
WHAT MUST GO RIGHT	Continued fee-earning AUM growth in Credit and Insurance, a normalising exit environment for Private Equity and Real Estate, and disciplined expense growth relative to fee revenue (Reasoned).
WHAT COULD BREAK THE THESIS	A sustained rise in long-term interest rates that both compresses real estate valuations and slows institutional re-allocation to illiquid alternatives (Reasoned).
WHAT APPEARS PRICED IN	The forward multiple embeds continued double-digit growth in fee-related earnings and a gradual recovery in realisation activity, without assuming a renewed multi-year downturn in private markets (Reasoned).

Investment Profile

BUSINESS QUALITY	High — scaled, diversified, capital-light fee generator with structurally growing perpetual-capital base.
FINANCIAL QUALITY	Sound — low balance-sheet leverage for the sector, A+ credit ratings, but payout ratio above net income.
COMPETITIVE POSITION	Leading — largest AUM among listed alternative managers across three of four segments.
GROWTH PROFILE	Double-digit fee-related earnings growth, cyclical performance-revenue growth.
BALANCE-SHEET RISK	Low to moderate — net debt of USD 12.8 billion against USD 22.4 billion of equity.
VALUATION	Trades at a premium to diversified peers, in line with its scale and growth leadership.
MARKET AND TECHNICAL PROFILE	High-beta, rate-sensitive financial stock; down from 52-week high amid a broader alternative-manager de-rating.

A. About the Business

A1. Business Environment

Blackstone operates in the alternative asset management industry, defined as the professional management of illiquid and semi-liquid pooled capital — private equity, real estate, private credit, infrastructure, and hedge-fund allocation — on behalf of institutional and increasingly individual investors, in exchange for management fees and a share of investment profits. The industry's value chain runs from capital formation (fundraising from pensions, sovereign wealth funds, insurers, and wealth-management platforms) through origination and underwriting of investments, to active asset management, and finally to realisation or perpetual holding (Reasoned).

Total alternative assets under management among the largest six listed managers — Blackstone, Apollo, Brookfield, KKR, Ares, and Carlyle — exceeded USD 4.3 trillion combined as of mid-2026, with private credit the fastest-growing sub-category as banks have retreated from leveraged and asset-based lending following post-2023 regulatory tightening (Sourced: investingintheweb.com industry survey). The industry's principal revenue pool is management fees on fee-earning AUM (a highly recurring, multi-year contracted stream) supplemented by a smaller but more volatile pool of performance fees and carried interest tied to realised investment gains. Cost pools are dominated by compensation for investment professionals, which is heavily variable and tied to performance-fee generation (Reasoned).

The industry is capital-intensive only at the fund level — the general partner itself (the listed entity) is asset-light, since third-party limited partners, not the manager's own balance sheet, fund the vast majority of deployed capital. Cyclicity is significant: fundraising, deployment, and realisation activity all slow when interest rates rise and risk appetite falls, as occurred industry-wide in 2022 and again through parts of 2023 (Sourced: SEC filings). The industry is subject to extensive regulation, including registration under the Investment Advisers Act, insurance-related regulation for managers with affiliated insurers, and growing scrutiny of retail-facing perpetual-capital vehicles (Sourced: Form 10-K risk factors).

Structurally, the industry is best classified as **growing and consolidating**: growing because institutional and retail allocations to alternatives continue to rise as a share of total portfolios, and consolidating because scale increasingly determines access to the largest transactions, the cheapest financing, and the broadest distribution into wealth-management channels (Reasoned).

A2. What Does the Company Do?

Blackstone raises capital from institutional investors (pension funds, sovereign wealth funds, insurers), high-net-worth individuals, and — through perpetual, semi-liquid vehicles such as the Blackstone Real Estate Income Trust and the Blackstone Private Equity Strategies Fund — retail investors. That capital is committed to investment vehicles across four segments, deployed into companies, real estate, credit instruments, and hedge-fund allocations, and actively managed by segment-specific investment teams. Blackstone earns a management fee on committed or invested capital (or net asset value, for perpetual vehicles) throughout the holding period, plus a performance allocation — commonly up to 20 percent of profits above a preferred return — realised when assets are sold or gains are otherwise crystallised (Sourced: Form 10-K).

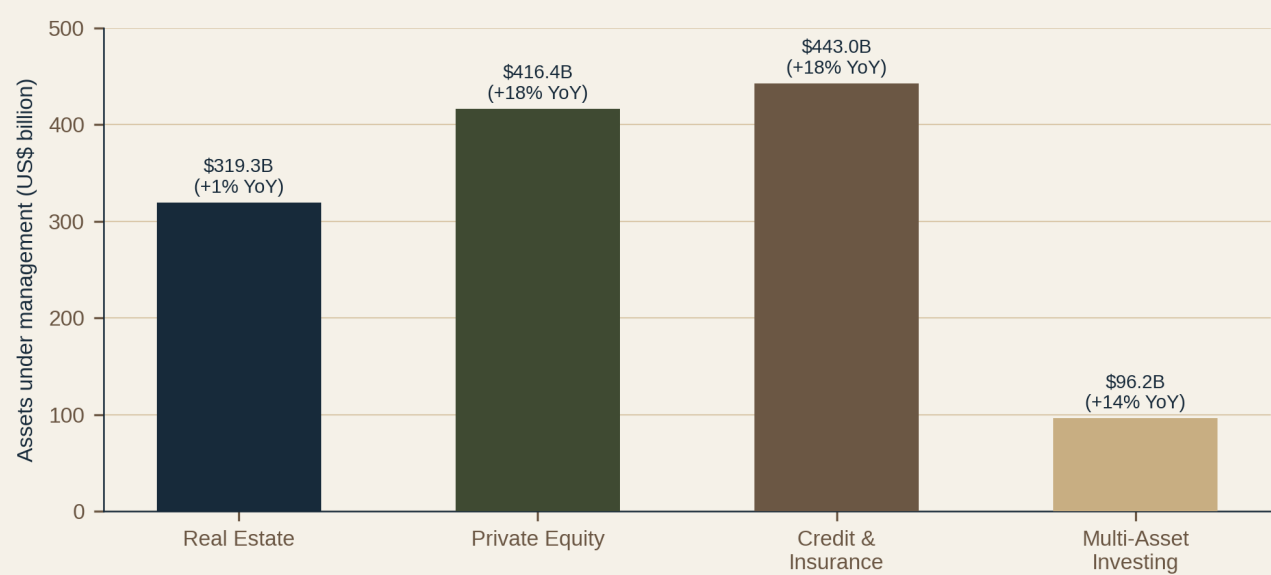
The operating model can be summarised as: **Limited Partner Capital → Segment Investment Strategy (Real Estate, Private Equity, Credit and Insurance, Multi-Asset) → Management Fees and Performance Revenue → Fee-Related Earnings and Distributable Earnings → Dividends and Share Repurchases**. Fee-related earnings, which come almost entirely from contracted management fees against a fee-earning AUM base of USD 921.7 billion, are the most durable and economically important part of the model; performance revenue, while smaller and less predictable on any given quarter, disproportionately drives swings in reported net income (Reasoned).

How a dollar moves through Blackstone

CAPITAL RAISED Pensions, sovereign wealth funds, insurers, wealth-management platforms, and perpetual retail vehicles commit capital across four segments.	CAPITAL DEPLOYED USD 138.2 billion deployed in FY2025 into real estate, buyouts, infrastructure, credit, and hedge-fund allocations.	FEES EARNED Management fees on fee-earning AUM (USD 921.7 billion) plus performance revenue on realised gains.	REALISATIONS USD 125.6 billion of FY2025 realisations crystallise carried interest and incentive fees.	CAPITAL RETURNED USD 7.1 billion of distributable earnings funds dividends (USD 4.74/share) and buybacks.
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Reasoned schematic built from Blackstone FY2025 earnings release and Form 10-K disclosure of the fee and performance-revenue model.

Assets under management by segment, 31 December 2025



Units: US\$ billion. Source: Blackstone Fourth Quarter and Full Year 2025 Earnings Press Release.

A3. Business and Relationship Network

Blackstone's ecosystem centres on four segment platforms, each with distinct counterparties and distribution partners (Sourced: Form 10-K; Reasoned structuring).

CAPITAL SOURCES	Public and corporate pension funds, sovereign wealth funds, insurance companies (including Blackstone-affiliated and third-party insurers), private banks and wirehouses distributing perpetual retail vehicles, and high-net-worth channels.
REAL ESTATE	Core+ perpetual vehicles BREIT and BEPIF; opportunistic funds under the BREP franchise; the BREDS real estate credit platform; publicly listed affiliate Blackstone Mortgage Trust (BXMT).
PRIVATE EQUITY	Corporate private equity flagship funds; infrastructure vehicles BIP and BXINFRA; secondaries platforms Strategic Partners and Blackstone Strategic Partners GP Stakes; life sciences and growth-equity strategies; a capital-markets arm arranging financing for portfolio companies.
CREDIT AND INSURANCE	Broadly syndicated and direct-lending credit strategies, CLO management, business development companies, and insurance-focused asset management for affiliated and third-party insurance balance sheets.

MULTI-ASSET INVESTING	The world's largest discretionary hedge-fund allocator, running multi-strategy portfolios on behalf of institutional clients.
PORTFOLIO COMPANIES AND ASSETS	Roughly 250 private equity portfolio companies and approximately 12,500 real estate assets held across managed funds (Sourced: investingintheweb.com, industry survey citing Blackstone disclosure).

A4. Competition

Blackstone competes for institutional capital, deal flow, and investment talent against a small group of scaled, diversified alternative managers, rather than against narrow industry-classification peers. The most economically relevant competitors are set out below.

PEER COMPARISON — SCALED ALTERNATIVE ASSET MANAGERS

Manager	Total AUM	Market cap	Primary strength	Relative position vs Blackstone
Blackstone (BX)	USD 1,275–1,346bn	USD 147.3bn	Scale across all four alternative asset classes; largest real estate platform	—
Apollo Global Mgmt. (APO)	>USD 1,000bn	USD 71.9bn	Insurance-linked credit origination via Athene	Comparable AUM scale, narrower diversification, heavier credit/insurance tilt
Brookfield Asset Mgmt.	>USD 1,000bn	n/a (BAM/BN structure)	Real assets and infrastructure at global scale	Similar real-asset scale, different corporate structure (asset-manager tracking stock)
KKR & Co. (KKR)	USD 796bn	USD 86.8bn	Balance-sheet co-investment model via KKR Holdings/Global Atlantic	Smaller AUM, more capital-intensive model given insurance balance sheet
Ares Management (ARES)	USD 671bn	USD 40.3bn	Direct lending and private credit leadership	Smaller and more credit-concentrated; premium growth multiple
Carlyle Group (CG)	USD 485bn	USD 14.2bn	Global private equity and credit with strong Middle East ties	Materially smaller scale, lower valuation multiple

Sourced: investingintheweb.com industry AUM survey (dates June 2026 / December 2025 as disclosed by each manager); stockanalysis.com market-capitalisation data as of 25 September 2026.

Indirect competitors and substitutes include traditional long-only asset managers expanding into private markets (BlackRock, State Street), direct-investing sovereign wealth funds and pension funds that increasingly co-invest or invest directly rather than through a fund vehicle, and private credit business development companies sponsored by regional and boutique managers. Emerging competitors include insurance-affiliated asset managers building proprietary alternative-credit platforms to match assets against long-duration liabilities (Reasoned).

A5. Competitive Differences

Advantages. Scale is Blackstone's central advantage: the largest AUM base among listed managers gives it access to transactions too large for most competitors to underwrite alone, preferential terms from financing counterparties, and the distribution reach to raise perpetual retail capital efficiently. Diversification across four uncorrelated segments smooths fee-

related earnings relative to single-strategy peers. Brand recognition among institutional allocators — cultivated over four decades — lowers fundraising costs and lengthens the list of investors willing to commit early to new strategies (Reasoned).

Disadvantages. A large share of AUM remains in closed-end, realisation-dependent vehicles whose performance revenue is inherently cyclical and difficult to forecast; the firm's payout ratio already exceeds 100 percent of GAAP net income, limiting the margin of safety in a prolonged downturn; and increasing regulatory attention to perpetual, retail-facing vehicles (redemption gates, valuation practices) is a structural risk specific to the fastest-growing part of the business (Reasoned).

Blackstone's moat rests on switching costs embedded in long-dated fund commitments, scale economies in origination and financing, and a brand that functions as a quality signal to capital allocators — but it holds no patent-like protection and faces intensifying competition for both capital and deal flow from equally well-capitalised rivals. On balance, the moat is assessed as:

Moderate to Strong

The advantage is structural, rooted in scale and distribution, rather than temporary; it does not, however, prevent multiple well-funded competitors from bidding away the same transactions and the same limited-partner dollars (Reasoned).

A6. Industry Trend

Institutional and retail allocations to alternative assets have grown steadily as investors sought return premia and diversification unavailable in public markets; total AUM among the six largest listed managers has more than tripled over the past decade (Reasoned, based on segment AUM disclosures). Demand drivers include pension funds' pursuit of higher risk-adjusted returns, insurers matching long-duration liabilities with private credit, and banks' retreat from balance-sheet lending after 2023's regional-banking stress, which opened space for private credit managers such as Blackstone's Credit and Insurance segment. Supply-side, capital continues to concentrate with the largest managers, evidenced by Credit and Insurance and Private Equity AUM both growing 18 percent year over year in FY2025 versus 1 percent for the more mature Real Estate segment (Sourced: FY2025 earnings release).

The industry is best classified as **growing and consolidating**, with a structural tailwind (rising allocations to private markets) partly offset by a cyclical headwind (elevated long-term interest rates that raise the cost of leverage and compress real estate and buyout valuations). The trend would reverse if interest rates fell sharply and reopened cheap-leverage-driven return profiles industry-wide, or if a sustained public-market outperformance drew allocator capital back toward liquid strategies (Reasoned).

A7. Management

KEY EXECUTIVES

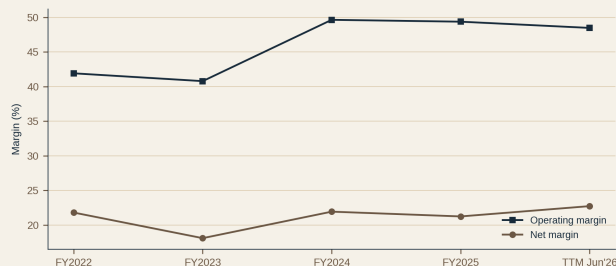
Name	Position	Background
Stephen A. Schwarzman	Chairman and Chief Executive Officer	Co-founded Blackstone in 1985 with Peter G. Peterson after roles at Lehman Brothers (head of global mergers and acquisitions) and Donaldson, Lufkin & Jenrette; Yale (BA) and Harvard Business School (MBA). Holds an approximate 19 percent economic stake in the firm (Sourced: Wikipedia biography, citing public disclosures).
Jonathan D. Gray	President and Chief Operating Officer	Joined Blackstone in 1992; built and led the real estate business from 1993, including the 2007 Hilton Hotels buyout, before being named president and COO in 2018; Wharton School (BA, BS). Has emphasised thematic investing in data centres, energy transition, and private credit (Sourced: Wikipedia biography).
Michael S. Chae	Chief Financial Officer	Long-tenured Blackstone finance executive overseeing capital markets, treasury, and investor-facing financial disclosure (Sourced: company disclosure).

Capital allocation under the current leadership has prioritised (i) reinvestment into fee-earning AUM growth, particularly perpetual retail and insurance-linked credit vehicles; (ii) a growing common dividend, though the payout ratio above 100 percent of GAAP net income signals reliance on non-GAAP distributable earnings to sustain it; and (iii) opportunistic share repurchases (USD 312 million in FY2025) that are modest relative to distributions. Insider ownership is concentrated in Mr. Schwarzman's stake rather than broad-based executive ownership (reported insider ownership of 0.55 percent of shares outstanding across all insiders per stockanalysis.com, a figure that likely undercounts economic interests held through Blackstone Holdings partnership units rather than common stock) (Sourced/Reasoned as noted). Guidance discipline and execution history are difficult to assess quantitatively from public data alone; qualitatively, the firm has consistently met or exceeded its own fundraising targets, evidenced by record FY2025 inflows of USD 239 billion (Sourced: FY2025 earnings release).

B. Evaluation

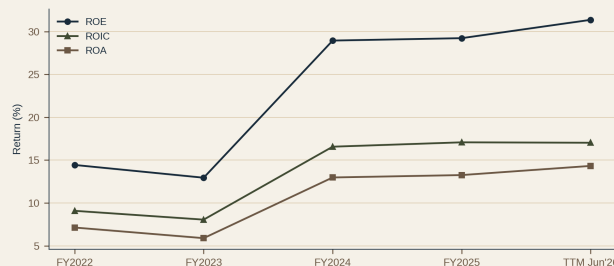
B1. Financial and Operating Metrics

Operating and net margin



Source: stockanalysis.com, derived from company GAAP financial statements.

Return on equity, assets and invested capital



Source: stockanalysis.com financial ratios, derived from company GAAP financial statements.

Profitability metrics that matter for an asset manager are margin on fee revenue and return on the modest capital the firm itself deploys, not asset turnover or inventory metrics that are economically meaningless for a fee-based business (Reasoned, per CLAUDE.md guidance to exclude non-meaningful metrics). Operating margin expanded from 41.9 percent in FY2022 to a stable high-40s percent range in FY2024–FY2025 as fee-related earnings scaled faster than fixed compensation and overhead costs. Return on equity nearly doubled from the FY2022–FY2023 trough of roughly 13–14 percent to 29.2 percent in FY2025, reflecting both improved profitability and a smaller equity base following buybacks (Sourced: stockanalysis.com ratios, cross-checked against company financial statements).

Leverage, measured at the listed entity, is moderate: debt to equity has held in a narrow 0.67–0.72x range since FY2022, and the firm carries A+ ratings from both S&P and Fitch (Sourced: FY2025 earnings release). Cash conversion — the relationship between reported net income and free cash flow — is generally favourable, though both figures are volatile year to year because performance revenue is realisation-dependent rather than steadily earned (Reasoned).

B2. Risks

STRUCTURED RISK ASSESSMENT

Category	Principal risk	Probability × impact
Business	Concentration in real estate valuations within perpetual Core+ vehicles (BREIT, BEPIF) sensitive to interest rates and property fundamentals	Medium × High
Financial	Payout ratio above 100 percent of GAAP net income; distributable earnings, not GAAP earnings, fund the dividend	Medium × Medium
Competitive	Intensifying competition from Apollo, KKR, Brookfield, and insurance-affiliated entrants for the same institutional capital and private-credit deal flow	High × Medium
Technological	Limited direct technology-disruption exposure, though portfolio companies face AI- and automation-driven competitive change	Low × Low
Regulatory	Increasing scrutiny of perpetual, retail-facing vehicles (valuation practices, redemption terms) which are the fastest-growing part of AUM	Medium × High

Category	Principal risk	Probability × impact
Macro	A slower-than-expected decline in long-term interest rates, pressuring real estate valuations, fundraising, and deployment pace (company-identified risk)	Medium × High
Valuation	Multiple compression if fee-related-earnings growth decelerates from the low-double-digit rate embedded in the current forward multiple	Medium × Medium

Probability and impact assessments are Reasoned by the analyst; underlying risk identification is Sourced from Blackstone's Form 10-K risk-factor disclosure and FY2025 earnings release.

THREE RISKS MOST CAPABLE OF PERMANENTLY IMPAIRING SHAREHOLDER VALUE

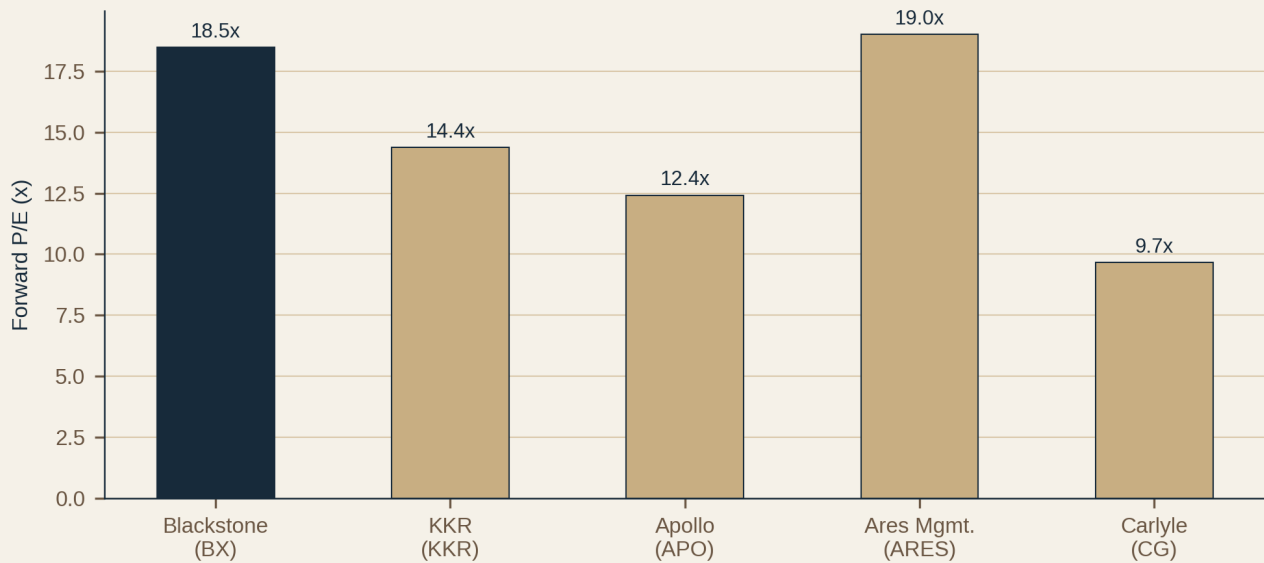
First, a structural, multi-year repricing of commercial and residential real estate that permanently reduces net asset value in the perpetual Core+ vehicles, given their scale within Real Estate AUM. Second, a regulatory intervention — gating, valuation, or disclosure requirements — that materially slows retail perpetual-vehicle fundraising, the segment management is counting on for future fee-earning AUM growth. Third, a sustained deterioration in realisation activity across Private Equity and Real Estate that both depresses performance revenue and signals broader capital-markets dysfunction (Reasoned).

B3. Valuation

MULTIPLES VERSUS SCALED ALTERNATIVE-MANAGER PEERS

Manager	Market cap (US\$bn)	Trailing P/E	Forward P/E	P/S	Dividend yield
Blackstone (BX)	147.3	26.5x	18.5x	9.5x	4.00%
KKR & Co. (KKR)	86.8	30.9x	14.4x	3.4x	0.81%
Apollo Global Mgmt. (APO)	71.9	43.3x	12.4x	2.0x	1.85%
Ares Management (ARES)	40.3	56.3x	19.0x	7.7x	4.43%
Carlyle Group (CG)	14.2	40.6x	9.7x	5.1x	3.52%

Sourced: stockanalysis.com statistics pages, as of 25 September 2026. EV/EBITDA is not a meaningful metric for GAAP-consolidated alternative-asset-manager financials, given large non-operating fair-value and consolidated-fund line items, and is omitted (Reasoned).

Forward price/earnings versus peers

Units: multiple (x). Source: stockanalysis.com, as of 25 September 2026.

Blackstone's trailing multiple sits above every peer except Ares and Apollo, but its forward multiple of 18.5x is the second-highest of the group, behind only Ares. On a price-to-distributable-earnings basis — the metric management and most sell-side coverage treat as the cleanest cash-generation proxy for an asset manager — Blackstone trades at roughly 18–19x trailing distributable earnings per share of USD 5.57–6.44 (Reasoned, derived from FY2025 and trailing-twelve-month figures). Relative to its own history, the stock trades well below its 52-week high of USD 178.29, implying the market has become more cautious about near-term fee-related-earnings and realisation growth than it was a year earlier (Sourced: stockanalysis.com 52-week range).

For the current multiple to be justified, the market appears to require continued double-digit fee-earning AUM growth in Credit and Insurance and Private Equity, a gradual recovery in Real Estate and Private Equity realisation activity toward the FY2025 pace of USD 125.6 billion, and margin discipline that keeps fee-related-earnings growth ahead of compensation growth. These expectations are assessed as **Reasonable** rather than conservative or extremely optimistic, given the firm's FY2025 execution against comparable targets (Reasoned).

B4. Capital Market and Stock Analysis

Five-year share price



Monthly closing price, September 2021–September 2026. Source: Alpha Vantage market data.

PRICE PERFORMANCE AND RISK STATISTICS

Metric	Value
1-month return (to 25 Sep 2026)	approx. –9%
1-year return	approx. –22% (vs. USD 154.14 close, 31 Dec 2025 base; and USD 170.85, Sep 2025 close)
3-year return (from Sep 2023 close of USD 107.14)	approx. +11%
5-year return (from Sep 2021 close of USD 116.34)	approx. +2%
52-week range	USD 101.73 – 178.29
Beta (5-year)	1.56

Sourced: Alpha Vantage monthly adjusted price series and stockanalysis.com statistics page; period returns are calculated by the analyst from closing prices (Reasoned) and are price-only, excluding reinvested dividends.

The share price peaked near USD 190 in late 2024 and again approached USD 191 in November 2024, before a sustained correction through 2026 that reached a 52-week low of USD 101.73. The stock's drawdown over the past twelve months — on the order of 20 to 25 percent — has been sharper than the broader market, consistent with its elevated beta of 1.56 and the sector-wide de-rating of alternative-asset-manager equities amid concerns over higher-for-longer interest rates and slower realisation activity (Sourced: Morningstar sector commentary; Reasoned interpretation). Trading volume has been elevated during the decline, consistent with active institutional repositioning rather than a low-liquidity air-pocket. The current price sits roughly in the lower third of the 52-week range, above the 52-week low but well below the 52-week high, suggesting the market has partially, but not fully, priced in a more cautious near-term outlook (Reasoned).

C. Financial Statements

All figures below are GAAP-consolidated, as reported by Blackstone Inc. and standardised by stockanalysis.com; they include consolidated-fund line items and therefore differ modestly from the segment-basis figures Blackstone highlights in its own earnings release (for example, FY2025 GAAP revenue of USD 14,213 million versus the USD 14.45 billion "Total Revenues" cited in the earnings release, which nets certain items differently). Both are internally consistent within their own basis and are labelled accordingly throughout this report (Reasoned, per CLAUDE.md data-quality rule on reconciling contradictory figures).

C1. Income Statement

INCOME STATEMENT SUMMARY, FY2022–TTM (US\$ MILLION EXCEPT PER-SHARE DATA)

Metric	FY2022	FY2023	FY2024	FY2025	TTM Jun'26
Total revenue	8,016	7,684	12,663	14,213	15,483
Revenue growth	−63.9%	−4.1%	+64.8%	+12.2%	+14.6%
Operating income	3,360	3,135	6,287	7,019	7,506
Operating margin	41.9%	40.8%	49.7%	49.4%	48.5%
Net income (Blackstone Inc.)	1,748	1,391	2,777	3,019	3,519
Net margin	21.8%	18.1%	21.9%	21.2%	22.7%
Diluted EPS (US\$)	2.36	1.84	3.62	3.87	4.47

Sourced: stockanalysis.com financials, derived from Blackstone Inc. GAAP financial statements.

Revenue swings from FY2022 through FY2024 reflect the mechanical volatility of GAAP consolidated revenue for an alternative manager, which embeds unrealised and realised fair-value changes on investments alongside recurring fee income; the FY2022 decline and FY2024 rebound track the broader private-markets valuation cycle rather than a change in the underlying fee-earning franchise, which grew every year of the period (Reasoned). Operating leverage has been the dominant driver of margin expansion since FY2023: fee-related earnings, built on a largely fixed cost base of investment professionals, have scaled faster than compensation and administrative expense as fee-earning AUM grew from roughly USD 700 billion to USD 921.7 billion over the period (Sourced: FY2025 earnings release; Reasoned margin attribution). Margins are best described as **expanding**, driven primarily by scale rather than price increases.

C2. Balance Sheet

BALANCE SHEET SUMMARY, FY2022–TTM (US\$ MILLION EXCEPT PER-SHARE DATA)

Metric	FY2022	FY2023	FY2024	FY2025	TTM Jun'26
Total assets	42,524	40,288	43,470	47,709	49,892
Cash and equivalents	4,252	2,956	1,972	2,631	2,507
Total debt	13,598	12,949	13,362	14,558	15,296
Total liabilities	22,843	22,212	23,975	25,828	27,459

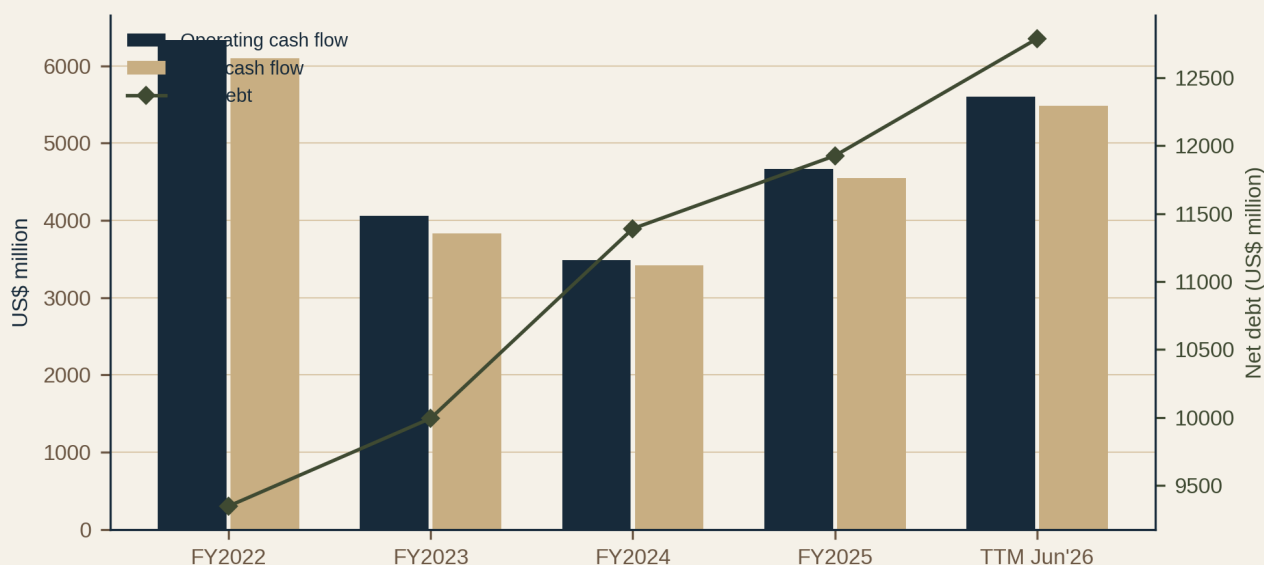
Metric	FY2022	FY2023	FY2024	FY2025	TTM Jun'26
Total equity	19,681	18,075	19,495	21,881	22,433
Net debt	9,346	9,993	11,390	11,927	12,789
Book value per share (US\$)	10.31	8.99	10.68	11.06	11.27

Sourced: stockanalysis.com balance-sheet data, derived from Blackstone Inc. GAAP financial statements.

Goodwill has remained flat at USD 1,890 million across the full period, indicating no material recent acquisitions requiring purchase-accounting goodwill recognition (Sourced). Net debt has risen from USD 9.3 billion to USD 12.8 billion as the firm issued additional notes, including USD 1.2 billion in November 2025, while maintaining A+ ratings from S&P and Fitch (Sourced: FY2025 earnings release). Debt to equity has nonetheless stayed within a narrow 0.67–0.72x band, indicating the balance sheet has grown roughly in proportion to the firm's expanding fee base rather than through disproportionate leverage. No red flags of the type common to operating companies — deteriorating receivables, inventory buildup — apply to Blackstone's fee-based model; the principal balance-sheet watch item is net accrued performance revenue of USD 6.74 billion (USD 5.49 per share), which represents performance fees recognised but not yet cash-realised and is therefore subject to potential future markdown if underlying fund performance deteriorates (Sourced: FY2025 earnings release; Reasoned interpretation).

C3. Cash Flow Statement

Operating cash flow, free cash flow and net debt



Units: US\$ million. Source: stockanalysis.com, derived from company GAAP financial statements.

CASH FLOW SUMMARY, FY2022–TTM (US\$ MILLION)

Metric	FY2022	FY2023	FY2024	FY2025	TTM Jun'26
Operating cash flow	6,336	4,057	3,482	4,663	5,598
Capital expenditure	(236)	(224)	(61)	(116)	(112)
Free cash flow	6,101	3,833	3,420	4,547	5,486

Metric	FY2022	FY2023	FY2024	FY2025	TTM Jun'26
Dividends paid	(3,647)	(2,478)	(2,629)	(3,636)	(3,900)
Share repurchases	(466)	(418)	(661)	(312)	(286)

Sourced: stockanalysis.com cash-flow data, derived from Blackstone Inc. GAAP financial statements.

Because capital expenditure is immaterial for an asset-light fee business, free cash flow tracks operating cash flow closely. Cash generation has not moved in a straight line: net income and cash flow have diverged in several periods, most visibly FY2022, when GAAP net income of USD 1,748 million coincided with a much larger USD 6,336 million of operating cash flow, reflecting timing differences between when performance revenue is recognised in earnings and when the associated cash is actually collected (Sourced: cash-flow statement; Reasoned explanation). Distributable earnings, Blackstone's own preferred cash-generation metric, reached USD 7,113 million in FY2025, exceeding both GAAP net income and free cash flow as reported, because it adds back certain non-cash and consolidated-fund items management views as not representative of economic cash generation available to shareholders (Sourced: FY2025 earnings release).

C4. Forecasting and Projections

Revenue modelling. Fee-related revenue is modelled as a function of fee-earning AUM growth (11 percent year over year in FY2025) and the blended fee rate across segments, which has been broadly stable. Performance-revenue is modelled separately as a function of realisation activity (USD 125.6 billion in FY2025) and fund-level investment performance, which has been strong across every reporting strategy in FY2025 (corporate private equity net returns of 13.8 percent; infrastructure 23.5 percent; private credit 7.8 percent net) (Sourced: FY2025 earnings release).

Margin projections. Fee-related-earnings margin is expected to continue expanding modestly as Credit and Insurance and Multi-Asset Investing — segments with lower average headcount intensity per dollar of AUM — take a growing share of the mix, offset by continued investment in distribution infrastructure for retail perpetual vehicles (Reasoned).

Working capital and capital expenditure. Both are structurally minor for the listed entity, since Blackstone does not carry meaningful inventory, receivables, or fixed-asset intensity; the balance-sheet item that behaves like working capital is net accrued performance revenue, which grows with unrealised fund gains and unwinds upon realisation (Reasoned).

Scenario analysis.

DISTRIBUTABLE EARNINGS PER SHARE SCENARIOS, FY2028E

Scenario	Key assumption	DE/share, FY2028E
Bull case	Fee-earning AUM growth sustains mid-teens pace; realisation activity recovers toward pre-2022 levels	USD 8.50
Base case	Fee-earning AUM growth moderates to low double digits; realisations grow gradually from the FY2025 base	USD 7.50
Bear case	Higher-for-longer rates slow fundraising and depress realisation activity toward FY2023–FY2024 levels	USD 6.20

Reasoned scenario framework built by the analyst from FY2025 distributable earnings per share of USD 5.57 and disclosed FY2025 growth rates; not a company forecast.

Sensitivity. Valuation under this framework is most sensitive to the multiple the market assigns to distributable earnings (which has ranged from roughly 15x to 27x over the past three years alongside swings in rate expectations) and to the pace

of fee-earning AUM growth, with realisation-driven performance revenue a secondary but higher-volatility swing factor (Reasoned).

C5. Valuation Framework (Distributable-Earnings Approach)

A conventional discounted cash flow model built on unlevered free cash flow is a poor fit for an asset-light, fee-based manager whose GAAP cash flow statement mixes consolidated-fund items with parent-company economics; sell-side and management practice instead values firms like Blackstone on distributable earnings per share and an assigned forward multiple, an approach this report follows and explicitly discloses (Reasoned, per CLAUDE.md's instruction not to force economically meaningless methodology).

IMPLIED VALUE RANGE, APPLYING SCENARIO DE/SHARE (FY2028E) TO A MULTIPLE RANGE

Scenario	DE/share FY2028E	Applied multiple	Implied value
Bull case	8.50	20.0x	USD 170
Base case	7.50	17.0–19.0x	USD 128–143
Bear case	6.20	14.0x	USD 87

Reasoned framework; multiple range is anchored to Blackstone's own trailing and forward multiples (18.5x–26.5x) and peer forward multiples (9.7x–19.0x). Not a price target or recommendation.

As a cross-check, a simple dividend-discount sanity check using the FY2025 dividend of USD 4.74 per share, a Reasoned long-term dividend growth rate of 6 percent, and a cost-of-equity estimate of roughly 11 percent (derived from a beta of 1.56 applied to a Reasoned equity-risk premium) implies a value near USD 100–105 per share, close to the stock's 52-week low of USD 101.73 — suggesting the current price already embeds a meaningfully more cautious growth assumption than the scenario framework above (Reasoned).

This is a valuation range built from explicit, disclosed assumptions, not a precise intrinsic-value estimate, and it does not constitute a price target or investment recommendation.

C6. Leveraged Buyout Considerations

A conventional leveraged buyout model is not economically applicable to Blackstone Inc. itself. The listed entity is an asset-light general partner whose principal assets are contractual fee streams and accrued performance revenue rather than hard, financeable collateral; the leverage that is economically relevant to the Blackstone platform sits inside its managed funds and portfolio companies, not at the parent level. Applying a standard LBO framework to the parent would therefore produce a metric without clear economic meaning, and none is presented, consistent with the instruction not to calculate metrics that do not fit the business (Reasoned).

D. Investment Thesis

Bull Case

Fee-earning AUM growth sustains a mid-teens pace as Credit and Insurance and retail perpetual vehicles continue to gain share of institutional and individual allocations; interest rates ease enough to reopen the realisation environment for Private Equity and Real Estate toward the FY2025 pace of USD 125.6 billion; and disciplined expense growth allows fee-related-earnings margin to keep expanding. Under this path, distributable earnings per share could approach USD 8.50 by FY2028, and a market willing to pay 20x for that growth would imply meaningful upside from the current price (Reasoned).

Bear Case

Long-term interest rates stay higher for longer than the market currently expects, further pressuring real estate valuations within the perpetual Core+ vehicles, slowing both fundraising and realisation activity across segments, and compressing the forward multiple toward the low end of the peer range. Under this path, distributable earnings per share could stall near USD 6.20 by FY2028, and a market applying a 14x multiple would imply a value meaningfully below the current price (Reasoned).

Base Case

Fee-earning AUM growth moderates from FY2025's 11 percent pace toward low double digits, realisation activity recovers gradually rather than sharply, and the fee-related-earnings margin holds broadly flat to modestly higher. This path implies distributable earnings per share near USD 7.50 by FY2028, with a fair-value range of roughly USD 128–143 at a 17–19x multiple consistent with the stock's own recent trading history (Reasoned).

Catalysts

- Quarterly earnings releases, particularly realisation and inflow figures for Private Equity and Real Estate.
- Central bank policy decisions affecting the trajectory of long-term interest rates.
- New perpetual-vehicle product launches or wirehouse distribution agreements expanding the retail channel.
- Material acquisitions, fund closings, or strategic partnerships in Credit and Insurance.
- Regulatory developments affecting perpetual, retail-facing fund structures.

Things to Monitor

Metric or event	Why it matters	Positive signal	Negative signal
Fee-earning AUM growth	Drives the most durable earnings stream	Sustained double-digit growth	Deceleration toward single digits
Realisation activity	Drives performance revenue and distributable earnings	Quarterly realisations approaching FY2025 run-rate	Prolonged realisation drought
Perpetual-vehicle net flows	Signals retail-channel health and regulatory standing	Positive net inflows, low redemption requests	Elevated redemption requests or gating

Metric or event	Why it matters	Positive signal	Negative signal
Payout ratio versus distributable earnings	Tests dividend sustainability	Payout ratio trending down relative to DE	Payout ratio rising further above net income
Long-term interest rates	Affects real estate valuations and leverage costs across the platform	Gradual, sustained decline	Renewed sharp increase

E. Final Investment Framework

BUSINESS QUALITY	High. Diversified, scaled, fee-based model with structurally growing recurring revenue.
FINANCIAL QUALITY	Sound but stretched on distributions. Low leverage, A+ ratings, payout ratio above net income.
COMPETITIVE POSITION	Leading. Largest AUM among listed alternative managers, though not immune to well-capitalised rivals.
MANAGEMENT	Long-tenured, founder-led, with a consistent record of meeting fundraising and deployment targets.
INDUSTRY	Structurally growing, cyclically exposed to interest rates and realisation activity.
VALUATION	Premium to most peers on forward earnings; consistent with scale and growth leadership.
TECHNICAL AND MARKET STRUCTURE	High-beta, rate-sensitive; trading in the lower third of its 52-week range.
PRINCIPAL RISK	A structural real estate repricing or regulatory constraint on perpetual retail vehicles.
PRINCIPAL CATALYST	A sustained recovery in realisation activity across Private Equity and Real Estate.
KEY VARIABLE	The pace of fee-earning AUM growth relative to the low-double-digit rate embedded in the current forward multiple.
THESIS INVALIDATION	The investment thesis would become materially weaker if fee-earning AUM growth decelerated below high single digits for two or more consecutive quarters, if realisation activity fell back toward FY2023–FY2024 levels without a corresponding decline in fee-related-earnings expectations already priced into the multiple, or if a regulatory action materially constrained perpetual-vehicle fundraising.

F. Data Table

COMPANY SNAPSHOT

Category	Metric	Current	Prior year	3–5Y trend
Market	Market capitalisation	USD 147.3bn	n/a	n/a
Market	Enterprise value	USD 159.9bn	n/a	n/a
Market	Share price	USD 118.42	USD 170.85 (Sep'25)	Range USD 74–191 since 2022
Growth	Revenue growth (FY2025)	+12.2%	+64.8% (FY2024)	Volatile, positive trend
Profitability	Operating margin	49.4% (FY2025)	49.7% (FY2024)	Expanding since FY2022 (41.9%)
Profitability	Net margin	21.2% (FY2025)	21.9% (FY2024)	Broadly stable
Profitability	ROE	29.2% (FY2025)	28.9% (FY2024)	Roughly doubled since FY2022 (14.4%)
Profitability	ROIC	17.1% (FY2025)	16.6% (FY2024)	Roughly doubled since FY2022 (9.1%)
Cash Flow	Operating cash flow	USD 4,663m (FY2025)	USD 3,482m (FY2024)	Volatile, FY2022 peak USD 6,336m
Cash Flow	Free cash flow	USD 4,547m (FY2025)	USD 3,420m (FY2024)	Volatile, FY2022 peak USD 6,101m
Leverage	Net debt / equity	0.55x (FY2025)	0.58x (FY2024)	Stable
Valuation	Trailing P/E	26.5x	n/a	n/a
Valuation	Forward P/E	18.5x	n/a	n/a
Valuation	P/FCF (TTM)	26.9x	n/a	n/a
Market	Beta (5-year)	1.56	n/a	n/a
Market	52-week range	USD 101.73–178.29	n/a	n/a

Net debt / equity calculated by the analyst as net debt divided by total equity from the balance-sheet table above (Reasoned). All other figures Sourced as cited in the relevant section.

G. Sources and Methodology

Primary Sources

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Calculations

Analyst calculations

Net debt, net debt/equity, period share-price returns, the distributable-earnings scenario and valuation-range framework in Sections C4–C5, and the dividend-discount cross-check are calculated or constructed by the analyst from the sourced inputs above and are marked Reasoned throughout the report.

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